

TOPIC REVIEW & COMPREHENSIVE STUDY GUIDE

CHAPTER II: THE PHILIPPINES AS A STATE

Course: Constitutional Law I (Political Law)

Subject Area: The State, National Territory, and the Doctrine of State Immunity

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1. GENERAL CONCEPTS: THE STATE & ITS ELEMENTS

Definition of a State

A **State** is a community of persons, more or less numerous, permanently occupying a definite portion of territory, independent of external control, and possessing an organized government to which the great body of inhabitants render habitual obedience (*Collector of Internal Revenue v. Campos Rueda*).

The Four Essential Elements of a State

1. **People (*Populus*)**: The mass of inhabitants living within the State, possessing no specific racial, linguistic, or cultural homogeneity, but bound by a common civil allegiance.
2. **Territory (*Territorium*)**: The fixed geographic space within which the State exercises exclusive sovereign jurisdiction.
3. **Government (*Regimen*)**: The political agency or institutional instrumentality through which the will of the State is formulated, expressed, and executed.
4. **Sovereignty (*Majestas / Imperium*)**: The supreme, absolute, and uncontrollable power inherent in a State by which the State is governed and by which it enters into international relations (*Internal vs. External Sovereignty*).

2. NATIONAL TERRITORY (ARTICLE I, 1987 CONSTITUTION)

A. Text of Article I (Verbatim for Memorization)

ARTICLE I — NATIONAL TERRITORY

"The national territory comprises the Philippine archipelago, with all the islands and waters embraced therein, and all other territories over which the Philippines has sovereignty or jurisdiction, consisting of its terrestrial, fluvial, and aerial domains, including its territorial sea, the seabed, the subsoil, the insular shelves, and other submarine areas. The waters around, between, and connecting the islands of the archipelago, regardless of their breadth and dimensions, form part of the internal waters of the Philippines."

B. Components of the National Territory

1. **The Philippine Archipelago**: That core geographic body of islands delineated historically by:
 - *Treaty of Paris* (December 10, 1898) between the United States and Spain.
 - *Treaty of Washington* (November 7, 1900) between the United States and Spain (surrendering Cagayan de Sulu, Sibutu, and their dependencies).
 - *Convention between the US and Great Britain* (January 2, 1930) (Turtle Islands and Mangsee Islands).
2. **All Other Territories Over Which the Philippines Has Sovereignty or Jurisdiction**: Includes the Kalayaan Island Group (KIG - PD 1596), Bajo de Masinloc (Scarborough Shoal), and historical historical claims such as Sabah.

3. Three Geographic Domains:

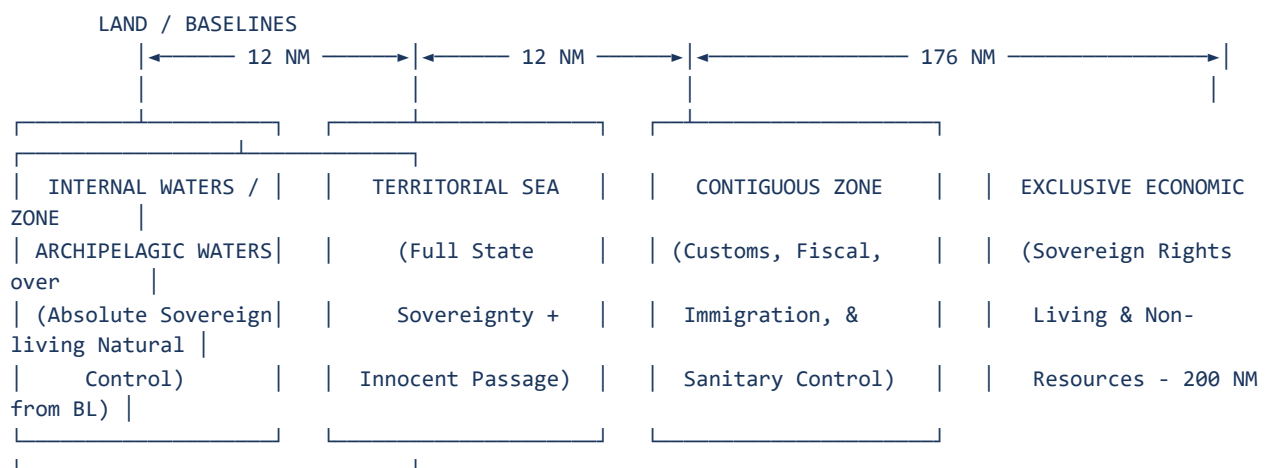
- **Terrestrial Domain:** Land masses, islands, and exposed dry lands.
- **Fluvial (and Maritime) Domain:** Internal inland waters, territorial sea, archipelagic waters, rivers, lakes, bays, and estuaries.
- **Aerial Domain:** The atmosphere and air column directly overlying the terrestrial and fluvial domains up to the boundary of outer space.

4. Submarine Areas:

- **Seabed (*Solum Maris*):** The top floor of the ocean bed.
- **Subsoil (*Subsolum*):** Everything underneath the seabed.
- **Insular Shelves:** Submerged continental/island shelves extending offshore.
- **Other Submarine Areas:** Seamounts, oceanic trenches, continental slopes, and rises.

C. Territorial Waters & Maritime Zones

Under both the 1987 Constitution, statutory law (RA 9522 - Philippine Baselines Law; RA 3046; RA 5446), and the 1982 United Nations Convention on the Law of the Sea (UNCLOS):



1. **Internal Waters / Archipelagic Waters:** Waters landward of the baselines. The State exercises absolute territorial sovereignty. Under the 1987 Constitution, archipelagic waters are internal waters where foreign vessels have no automatic right of innocent passage except as allowed by the State or governed by designated archipelagic sea lanes.

2. **Territorial Sea (12 Nautical Miles from Baselines):** A belt of sea over which the coastal State exercises sovereignty, subject to the customary international law right of *innocent passage* for foreign civil and military vessels.

3. **Contiguous Zone (Up to 24 Nautical Miles from Baselines):** A zone where the coastal State exercises limited enforcement jurisdiction to prevent and punish infringements of its *customs, fiscal, immigration, or sanitary (CFIS)* laws.

4. **Exclusive Economic Zone (EEZ - Up to 200 Nautical Miles from Baselines):** The State does not have full sovereignty, but possesses *sovereign rights* for the purpose of exploring, exploiting, conserving, and managing natural resources, whether living or non-living, and jurisdiction over marine scientific research and environmental protection.

5. **Continental Shelf / Extended Continental Shelf (ECS):** The seabed and subsoil extending beyond the territorial sea up to 200 NM (or up to 350 NM under UNCLOS Article 76 upon

confirmation by the UN Commission on the Limits of the Continental Shelf - e.g., Benham / Philippine Rise).

D. The Archipelagic Doctrine & UNCLOS

1. Definition and Concept

The **Archipelagic Doctrine** (Integrated Island-Water Concept) is the principle whereby an archipelago is regarded as a single unified territorial and political unit. Straight baselines are drawn by connecting the outermost points of the outermost islands and drying reefs of the archipelago.

2. The Second Sentence of Article I

"The waters around, between, and connecting the islands of the archipelago, regardless of their breadth and dimensions, form part of the internal waters of the Philippines."

3. Purpose and Legal Rationale

- **Territorial Integrity & Security:** Protects the country from being fractured into isolated islands separated by international high seas.
- **National Defense:** Prevents foreign warships and submarines from navigating unchecked between Philippine islands without authorization.
- **Economic Preservation:** Preserves all fisheries, mineral, and energy resources enclosed within the baseline framework for the Filipino people.
- **Constitutionality Upheld:** In *Magallona v. Ermita* (G.R. No. 187167, July 16, 2011), the Supreme Court ruled that RA 9522 (delineating archipelagic baselines in compliance with UNCLOS) does not diminish Philippine territory, but is an instrument of maritime demarcation that reinforces national sovereignty and jurisdictional claims under international law.

3. DOCTRINE OF STATE IMMUNITY (ARTICLE XVI, SECTION 3)

A. Constitutional Basis & Theoretical Foundations

1. Verbatim Constitutional Provision

ARTICLE XVI, SECTION 3

"The State may not be sued without its consent."

(Also known as the Royal Prerogative of Dishonesty or Non-Suability of the State)

2. Theoretical Foundations

1. Positivist / Analytical Theory (Holmesian Concept):

"There can be no legal right as against the authority that makes the law on which the right depends." (*Kawananakoa v. Polyblank*, 205 U.S. 349). Since the State creates and enforces rights, it cannot be hauled before its own courts without granting permission.

2. Sociological / Practical Theory (Public Service Disruption):

Government cannot function smoothly if it is continually subjected to litigation, defending lawsuits, and satisfying monetary judgments, which divert public resources and time away from the administration of public affairs (*Provident Washington Insurance Co. v. Republic*, 29 SCRA 598).

3. International Law Sovereign Equality (*Par In Parem Non Habet Imperium*):

One sovereign cannot exercise judicial authority over another sovereign of equal rank. Foreign States are immune from the jurisdiction of local municipal courts.

B. Entitlement of Immunity: Justiciable vs. Political Question

1. The Core Legal Issue

When a foreign sovereign, an international agency, or an officer claims diplomatic or sovereign immunity in a pending court case, is the entitlement to immunity a **justiciable controversy** for the judge to decide, or a **political question** reserved for the Executive Department?

2. Executive Certification as a Political Act

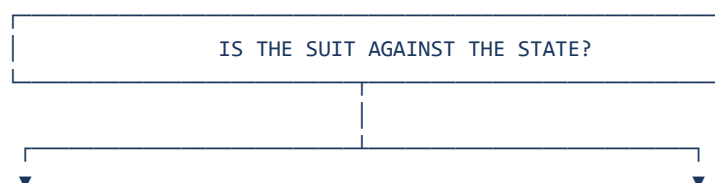
- Under Philippine jurisprudence (*The Holy See v. Rosario*; *DFA v. NLRC*), the determination of whether a foreign government, sovereign, or international entity is immune is an executive prerogative exercised through the Department of Foreign Affairs (DFA).
- When the Executive Department explicitly recognizes and certifies that an entity is entitled to sovereign or diplomatic immunity, **that determination is a political question that is conclusive and binding upon domestic courts and quasi-judicial tribunals.**
- **Rationale:** The conduct of foreign relations is constitutionally committed to the Executive. For a domestic court to disregard the DFA's diplomatic certification would embarrass the Executive and risk international friction.

C. Test: When a Suit is Against the State vs. When It Is Not

1. The Real Party-in-Interest Test

A suit is regarded as being against the State **if, assuming the plaintiff wins, the ultimate liability, burden of satisfaction, or judgment will fall upon or require an affirmative act or monetary disbursement from the public treasury of the State**, even if the State is not nominally named as a party defendant (*Republic v. Feliciano*; *Arigo v. Swift*).

2. Indicator Tests:



SUIT IS AGAINST THE STATE	SUIT IS NOT AGAINST THE STATE
- Judgment requires payment from public treasury. - Compels government to surrender or alienate public property. - Sues public officer for official, authorized acts within his mandate. - Seeks to quiet title against State forest lands (*Republic v. Feliciano*). - Sues foreign warships/commanders performing defense functions (*Arigo v. Swift*).	- Action against public officer in his personal/individual capacity. - Action to compel officer to perform a purely ministerial duty (Mandamus). - Action to restrain an officer from enforcing an unconstitutional law. - Action based on ultra vires, tortious criminal acts, or bad faith. - Action for recovery of private property unlawfully withheld by an officer without expropriation.

D. Immunity of International Organizations and Specialized Agencies

1. Concept of Functional Immunity (*Ratione Materiae*)

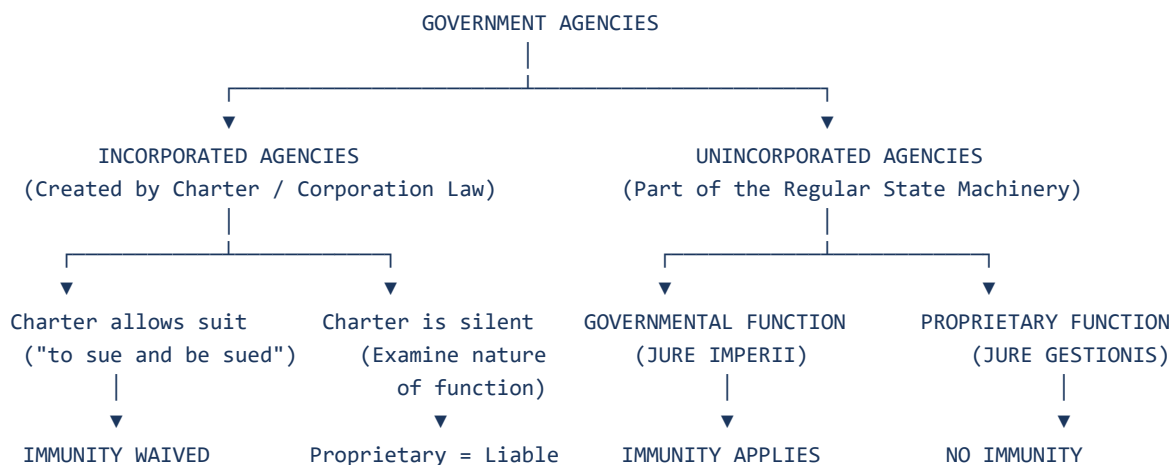
International organizations (e.g., Asian Development Bank - ADB, International Rice Research Institute - IRRI, Southeast Asian Fisheries Development Center - SEAFDEC, World Health Organization - WHO) are not sovereign states, but are granted **diplomatic privileges and immunities** under their Charters, Headquarters Agreements, and Conventions on Privileges and Immunities.

2. Legal Principles:

- Host State Non-Interference:** Immunity shields international agencies from unilateral control or interference by local labor boards, courts, or administrative bodies (*SEAFDEC v. NLRC*; *Callado v. IRRI*; *DFA v. NLRC*).
- Functional Limitation:** Immunity is designed to protect the organization's mandate (*functional immunity*). It does not shield officers from personal crimes or torts that are entirely outside their official duties (*Liang v. People*).

E. Immunity of Government Agencies

Government entities are classified into **Incorporated** and **Unincorporated** agencies:



(*Fontanilla v. Maliaman*)

Govtl. = Immune

(*Farolan v. CTA*)

(*CAA v. CA*; *CNMEG v. Santamaria*)

1. Incorporated Agencies (GOCCs / Chartered Entities):

- Possess a distinct juridical personality separate from the Republic.
- If their charter expressly states that they have the power "**to sue and be sued**," state immunity is **expressly waived** (*Fontanilla v. Maliaman*; *PNR v. IAC*).

2. Unincorporated Agencies (Departments, Bureaus, Armed Forces):

- Have no separate juridical personality; form part of the sovereign machinery.
- **Primary Function Test:**
 - **Governmental Function (*Jure Imperii*):** Performing sovereign duties (e.g., Bureau of Customs, Bureau of Internal Revenue, Philippine National Police). **Immune from suit** (*Farolan v. CTA*).
 - **Proprietary Function (*Jure Gestionis*):** Conducting commercial, industrial, or profit-generating business enterprises (e.g., Civil Aeronautics Administration operating an international airport for terminal fees). **Not immune from suit** (*Civil Aeronautics Administration v. CA*).

F. Fundamental Distinction: Suability vs. Liability

Parameter	Suability (Suability of the State)	Liability (Liability of the State)
Definition	The legal capacity of the State to be brought into court as a party defendant through waiver of immunity.	The legal obligation of the State to pay compensation, damages, or satisfy an obligation after trial on the merits.
Determination	Resolved at the threshold stage (Jurisdictional / Motion to Dismiss).	Resolved at the end of trial based on applicable substantive law and evidence.
Governing Rule	Depends strictly on consent (Express statute or implied conduct).	Depends on whether substantive law establishes legal liability and fault.
Classic Landmark	<i>Merritt v. Government of the Philippine Islands</i> (34 Phil 311).	<i>Merritt v. Government of the Philippine Islands</i> ; Article 2180, NCC.

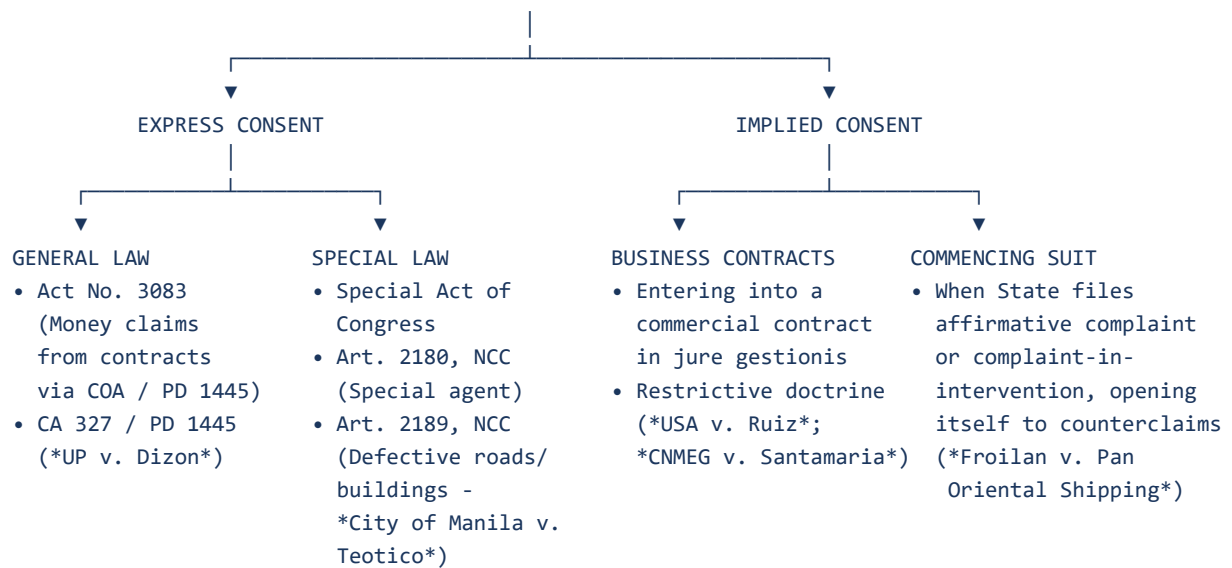
Golden Canon:

"Suability does not mean liability." By consenting to be sued, the State simply gives the private citizen a remedy to enforce a pre-existing legal right and removes the jurisdictional bar. It does NOT admit that it is legally liable, nor does it waive substantive defenses.

G. Waiver of State Immunity

Consent of the State to be sued is either **Express** or **Implied**:

WAIVER OF STATE IMMUNITY



1. Express Consent

- **Must emanate from the Legislature** via a statute enacted by Congress. The Executive branch or government lawyers (Solicitor General) cannot unilaterally waive the State's immunity without statutory authority (*Republic v. Feliciano*).
- **General Laws:**
 - *Act No. 3083 in relation with CA 327 and PD 1445 (Government Auditing Code)*: Allows filing of liquidated money claims arising from contracts with the government, which must first be submitted to the **Commission on Audit (COA)** (*UP v. Dizon*).
- **Special Laws:**
 - *Civil Code Article 2180, Par. 6*: State is liable for quasi-delicts only when acting through a **special agent** (an officer given an exceptional, extraordinary commission outside regular official duties).
 - *Civil Code Article 2189*: Local government units are liable for death or injuries caused by the defective condition of public roads, streets, bridges, and public works under their control (*City of Manila v. Teotico*).

2. Implied Consent

- **By Entering into Commercial Contracts (*Jure Gestionis*):**

Under the modern **Restrictive Doctrine of State Immunity**, when a State steps down from its sovereign pedestal and engages in purely private commercial transactions, it is deemed to have impliedly waived immunity (*USA v. Ruiz*; *CNMEG v. Santamaria*).

Exception: Contracts entered into in pursuit of sovereign or military defense purposes remain acts *jure imperii* and do NOT constitute waiver (*USA v. Ruiz*).

- **By Commencing Litigation:**

When the State institutes a civil action or intervenes asking for affirmative relief, it submits itself to the jurisdiction of the court and opens itself to counterclaims arising from or connected with the same transaction (*Froilan v. Pan Oriental Shipping Co.*).

H. Principle: Consent to be Sued Does Not Include Consent to Execution/Garnishment

1. The Rule

Even when the State waives its immunity and a final executory monetary judgment is rendered against it or its political subdivisions, **the prevailing party CANNOT obtain a writ of execution, garnishment, or attachment against public funds and government bank accounts** (*Municipality of San Miguel v. Fernandez*; *Municipality of Makati v. CA*; *UP v. Dizon*).

2. Legal Rationale:

1. **Public Policy:** Government funds are held in trust for public welfare and allocated by legislative appropriation for specific public purposes. Seizing these funds paralyzes public administration.

2. **Constitutional Requirement:** Under Article VI, Section 29(1) of the 1987 Constitution:

"No money shall be paid out of the Treasury except in pursuance of an appropriation made by law."

3. **Mandatory Administrative Process:** All monetary awards against the State, government agencies, or chartered state universities must be filed as a money claim before the **Commission on Audit (COA)** for audit and disbursement, or addressed via a legislative/ordinance appropriation (*UP v. Dizon*).

3. Single Exception:

Where a local government unit has **already passed a specific appropriation ordinance setting aside a distinct fund specifically to satisfy the judgment**, that specific fund is segregated and may be subject to garnishment (*Municipality of Makati v. CA*).

I. Suits Against Public Officers & Personal Liability

1. Official Acts vs. Ultra Vires / Tortious Acts

• **Protected:** A public officer acting within the scope of his authority and in good faith in the execution of his official duties is protected by State Immunity. The suit is treated as a suit against the State.

• **Unprotected:** A public officer who acts **ultra vires** (beyond his powers), with malice, bad faith, gross negligence, or who commits a tort or crime is stripped of his official protective mantle. The suit is against him in his personal capacity and he is personally liable (*Wylie v. Rarang*; *Farolan v. CTA*; *Liang v. People*).

2. Circumstances Where a Public Officer May Be Sued Without State Consent:

1. To compel him to perform a ministerial duty required by law (*Mandamus*).
2. To restrain him from enforcing an unconstitutional or void statute (*Injunction*).
3. To recover private property unlawfully or arbitrarily confiscated without expropriation proceedings.
4. To hold him personally liable for damages resulting from illegal, tortious, or malicious acts (*Wylie v. Rarang*).

J. Limitation: State Immunity Cannot Be Used to Perpetrate an Injustice

The Supreme Court has consistently held that the doctrine of State Immunity is a protective shield designed to protect public order and governance, **not a weapon to commit oppression, perpetuate**

injustice, or evade just compensation against citizens (*Wylie v. Rarang*; *Ministerio v. CFI of Cebu*; *Amigable v. Cuenca*).

When the State takes private property for public use without filing expropriation proceedings or paying just compensation, it cannot hide behind state immunity to defeat the owner's suit for recovery or payment.

4. MASTER SUMMARY OF LATIN MAXIMS

Latin Maxim	Literal Translation	Legal Meaning & Application in Constitutional Law
Par in parem non habet imperium	"Equals have no sovereignty over each other."	Sovereign equality of States. One State cannot exercise judicial jurisdiction over another equal sovereign State. (<i>The Holy See v. Rosario</i> ; <i>Arigo v. Swift</i> ; <i>USA v. Ruiz</i>).
Acta jure imperii	"Acts of sovereign power."	Sovereign, governmental, or political acts of a State for which it enjoys absolute immunity from suit.
Acta jure gestionis	"Acts of management/trade."	Commercial, proprietary, or private acts of a State for which immunity is waived under the restrictive theory. (<i>CNMEG v. Santamaria</i> ; <i>CAA v. CA</i>).
Nullum tempus occurrit regi	"No time runs against the King."	Prescription does not run against the State regarding sovereign rights and public domain lands unless a statute expressly provides otherwise.
Pacta sunt servanda	"Agreements must be kept."	Treaties and international agreements entered into by the State must be observed in good faith.
Privilegia ne irroganto	"No private privileges shall be granted."	Public officers and international officials do not enjoy personal privilege to commit torts or crimes with impunity. (<i>Liang v. People</i> ; <i>Wylie v. Rarang</i>).
Nemo punitur pro alieno delicto	"No one is punished for the crime of another."	The State is not criminally or civilly liable for the unauthorized private torts or crimes of its individual employees.
Salus populi est suprema lex	"The welfare of the people is the supreme law."	The underlying justification for state sovereignty, internal waters security, and the Archipelagic Doctrine.